

The Great Middle East Treaty

A Treaty of Peace, Economic Complementarity, Energy Security,
Development, Resilience, and Shared Prosperity

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Abstract

The Great Middle East Treaty establishes a voluntary framework for peaceful coexistence, economic integration, energy security, infrastructure, technological cooperation, financial stability, human development, and collective resilience among participating Middle Eastern states. The Treaty does not require the extinction of national sovereignty. Its central principle is that states may remain politically distinct while making themselves economically, technologically, environmentally, and strategically more valuable to one another than they would be in isolation.

The Treaty treats oil not merely as a commodity but as a complete economic system linking geological reserves, petroleum engineering, production, transportation, refining, financial markets, international trade, industrial development, and human welfare. This approach follows the multidimensional framework developed in [1, 2, 4].

The Treaty therefore seeks not merely to prevent war, but to construct an equilibrium in which cooperation is more profitable than conflict.

The treaty ends with “The End”

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1 Preamble

The Parties to this Treaty,

Recognizing the dignity, sovereignty, independence, and legitimate interests of the peoples and states of the Middle East;

Recognizing that history may provide knowledge but must not imprison the present;

Recognizing that economic complementarity can transform differences in resources, capital, technology, labour, geography, and institutions into mutual gains;

Recognizing the strategic importance of reliable energy supplies to the world economy;

Recognizing that oil is simultaneously an exhaustible natural resource, industrial input, financial asset, geopolitical variable, and technological system [1];

Recognizing the importance of infrastructure, technological capability, human capital, finance, and resilient institutions [5];

Recognizing the importance of diplomacy, interest-based negotiation, repeated interaction, institutional legitimacy, and credible enforcement [10, 11];

Recognizing that economic development and environmental sustainability must be considered jointly;

Recognizing that peace is strongest when the opportunity cost of war exceeds the opportunity cost of cooperation;

Agree as follows.

2 Article I: Purpose

The purpose of this Treaty is to establish a voluntary framework under which participating states shall seek to:

1. preserve national sovereignty;
2. prevent armed conflict;
3. increase mutually beneficial trade;
4. develop shared infrastructure;
5. strengthen energy security;
6. increase the productive value of natural resources;
7. encourage technological and scientific cooperation;
8. strengthen financial and monetary stability;
9. promote human development;
10. protect the environment;

11. establish mechanisms for peaceful dispute settlement;
12. increase collective resilience against economic, technological, environmental, and security shocks.

The Treaty is founded upon the principle that integration shall be *voluntary, reciprocal, economically rational, institutionally credible, and compatible with national sovereignty*.

3 Article II: Sovereignty and Voluntary Association

3.1 National Sovereignty

Each Party retains sovereignty over:

- its territory;
- its constitution;
- its political institutions;
- its natural resources;
- its fiscal system;
- its monetary institutions;
- its defence policy, subject to international law;
- its cultural and religious institutions.

No provision of this Treaty shall be interpreted as requiring political unification.
Political integration may occur only where subsequently agreed by the Parties.

3.2 The Principle of Voluntary Integration

A Party shall participate in a common institution only where participation is individually rational.

Let $U_i(T)$ denote the expected welfare of Party i under the Treaty and let $U_i(B_i)$ denote its expected welfare under its best alternative to a negotiated agreement, its BATNA. The Treaty shall seek to satisfy

$$U_i(T) \geq U_i(B_i) \tag{1}$$

for every participating Party.

This condition follows the individual-rationality principle of negotiation and mechanism design [10, 11].

3.3 Proof of Individual Rationality

Proof. If $U_i(T) < U_i(B_i)$, Party i has an economically superior outside option and therefore possesses an incentive to reject or leave the agreement. If $U_i(T) \geq U_i(B_i)$, participation does not make Party i worse off relative to its BATNA. Hence individual rationality is a necessary condition for voluntary treaty participation. $\square$

4 Article III: Economic Complementarity

The Parties recognize that economic systems frequently possess complementary endowments.

Let the productive capabilities of a group of Parties be represented by

$$Q = \{R, K, L, H, T, M, I\}, \quad (2)$$

where R denotes natural resources, K physical capital, L labour, H human capital, T technology, M markets and finance, and I infrastructure.

The value of cooperation shall be measured by the incremental contribution of an additional participant:

$$\Delta V_i = V(Q \cup \{i\}) - V(Q). \quad (3)$$

A Party shall be regarded as materially contributing to the Union where its differentiated contribution increases productive capacity, resilience, knowledge, market access, infrastructure, or strategic capability [6, 5].

4.1 Complementarity Proposition

If

$$V(Q \cup \{i, j\}) > V(Q \cup \{i\}) + V(Q \cup \{j\}) - V(Q), \quad (4)$$

then cooperation between i and j creates a positive complementarity relative to their separate participation.

Proof. The left-hand side is the joint value. The right-hand side subtracts the value counted twice through the common baseline. A strict inequality therefore implies a positive interaction effect. $\square$

The Parties shall seek such complementarities rather than seek uniformity for its own sake.

5 Article IV: The Oil and Energy Compact

5.1 Oil as a Complete Economic System

The Parties recognize five interconnected dimensions of petroleum:

1. geological reserves;
2. petroleum engineering and recovery;
3. transportation and infrastructure;
4. market pricing and financial risk;
5. industrial and developmental use.

The mathematical framework of petroleum production developed through Ghoshian condensation provides a framework connecting pressure, reservoir dynamics, flow, recovery, thermal processes, and optimization [2].

The economics of oil pricing simultaneously involves scarcity rents, inventories, convenience yields, financial markets, geopolitical risk, crude quality, refining, transportation, and infrastructure [1].

The Parties shall therefore cooperate across the entire value chain.

5.2 Reservoir and Recovery Cooperation

The Parties may establish joint research programmes in:

- reservoir characterization;
- enhanced oil recovery;
- waterflooding;
- thermal recovery;
- unconventional petroleum;
- geological modelling;
- well placement;
- carbon sequestration;
- geothermal energy;
- digital reservoirs and real-time optimization.

A generic petroleum pressure representation may be written as

$$P(z, t) = P_0 + \gamma z + \phi \exp(P_0 + \gamma z) + \rho(t), \quad (5)$$

as developed in the Ghoshian petroleum framework [2].

The Parties shall treat such equations as models to be empirically validated, not as substitutes for field measurement.

5.3 Oil Pricing

Oil pricing shall recognize both physical and financial determinants.

A storage relationship may be represented by

$$F(t, T) = S(t) \exp[(r + w - \delta)(T - t)], \quad (6)$$

where F is the futures price, S the spot price, r the relevant interest rate, w storage costs, and δ the convenience yield [1].

The Parties shall promote transparent benchmark formation, physical market liquidity, infrastructure investment, and responsible risk management.

5.4 Fundamental Oil Arbitrage

For a petroleum system in which $V(t)$ denotes economic value, $C(t)$ cost, $r_f(t)$ the risk-free rate, and $P_o(t)$ an oil premium, the fundamental arbitrage relationship developed in [3] may be written as

$$P_o(t) = \frac{V(t)}{\Pi(t) + C(t)} - 1 - r_f(t) \geq 0. \quad (7)$$

The Parties shall distinguish between the physical price of oil and the economic value generated by oil.

5.5 The Central Bargain

The Parties therefore adopt the following principle:

The objective of energy cooperation shall not be to maximize the price of oil at the expense of the world economy, nor to minimize the price of oil at the expense of producing states. The objective shall be to maximize the long-run productive value generated by energy while maintaining reliable supply, sustainable investment, and equitable gains.

6 Article V: Development and Infrastructure

The Parties shall establish a regional infrastructure programme covering:

- electricity;
- pipelines;
- ports;
- railways;
- roads;
- telecommunications;
- data centres;
- water systems;
- industrial zones;
- scientific facilities;
- renewable energy;
- energy storage.

Let aggregate production be represented by

$$Y(t) = AK(t)^\alpha L(t)^\beta I(t)^\gamma \exp[\phi N(t)], \quad (8)$$

where $I(t)$ represents infrastructure and $N(t)$ network effects [5].

Infrastructure shall therefore be treated as a productive input rather than merely as expenditure.

7 Article VI: Trade, Capital, and Finance

7.1 Long-Term Capital

The Parties shall encourage capital whose expected holding period is consistent with long-term development.

National Development Securities may be used to encourage productive, countercyclical, and long-duration investment while discouraging destabilizing short-term capital reversals [8].

7.2 Financial Stability

The Parties shall cooperate in:

- banking stability;
- liquidity management;
- sovereign financing;
- infrastructure finance;
- commodity hedging;
- financial-market transparency;
- cross-border payment systems.

7.3 Inflation Risk

The Parties recognize that an inflation risk premium is not mathematically required to be positive.

Define

$$\pi(t) = r_A(t) - r_f(t) - E_t[i(t)]. \quad (9)$$

A zero-inflation-risk-premium equilibrium satisfies

$$\pi(t) = 0 \quad \text{for all } t. \quad (10)$$

This is a theoretical equilibrium condition and shall not be interpreted as a claim that inflation risk is empirically absent in all economies [7].

8 Article VII: Monetary and Macroeconomic Cooperation

The Parties shall seek:

1. monetary stability;
2. predictable fiscal policy;
3. sustainable public debt;
4. stable investment conditions;
5. avoidance of competitive destabilization;
6. cooperation during external financial shocks.

The Parties may establish a regional statistical observatory to monitor:

$$X_t = [\pi_t, r_t, y_t, e_t, p_t, m_t, u_t, o_t]', \quad (11)$$

where the variables may include inflation, interest rates, output, exchange rates, prices, money, unemployment, and oil variables.

9 Article VIII: Environment, Energy Transition, and Human Welfare

The Parties recognize that economic development and environmental externalities must be analyzed jointly.

A simplified welfare function may be represented as

$$W = U(C, E, H) - D(E_{\text{pollution}}) - D(R_{\text{climate}}) - D(R_{\text{health}}), \quad (12)$$

where C denotes consumption, E energy services, H human development, and the D terms represent environmental and health damages.

The Parties shall cooperate in:

- emissions reduction;
- methane management;
- carbon capture;
- renewable energy;
- nuclear energy where appropriate;
- water efficiency;
- air-quality monitoring;
- sustainable urbanization.

A cross-country regression examining population density, emissions, vehicles, and oil imports illustrates the value of quantitative analysis while also demonstrating the importance of avoiding causal overinterpretation [9].

The Parties shall therefore distinguish:

$$\text{correlation} \neq \text{causation}. \quad (13)$$

10 Article IX: Science, Technology, and Artificial Intelligence

The Parties shall establish a Middle Eastern Scientific and Technological Network.

Priority areas shall include:

- artificial intelligence;
- machine learning;
- quantum computing;
- cybersecurity;
- petroleum engineering;
- biotechnology;
- chemistry;
- materials science;

- robotics;
- climate science;
- water technology;
- aerospace.

The Parties recognize that advanced infrastructure is multidimensional. Quantum capability, for example, requires hardware, algorithms, human capital, energy, communications, finance, institutions, and cybersecurity [6].

10.1 A General Scientific Architecture

$$Q = (H, H_c, E, C, S, F, I), \quad (14)$$

where H denotes hardware, H_c human capital, E energy, C communications, S software, F finance, and I institutions.

No single component shall be treated as sufficient for strategic technological capability.

11 Article X: Data, Econometrics, and Evidence

The Parties shall establish common standards for:

- statistical data;
- national accounts;
- energy statistics;
- environmental measurements;
- financial data;
- scientific reproducibility;
- model validation.

A regional empirical model shall distinguish descriptive, predictive, and causal claims. For example,

$$Y_i = \beta_0 + \beta_1 X_{1i} + \beta_2 X_{2i} + \cdots + \beta_k X_{ki} + \epsilon_i \quad (15)$$

does not by itself establish that any X_j causes Y .

The Parties shall encourage robustness checks, out-of-sample validation, structural-break analysis, and transparent reporting.

12 Article XI: Psychology, Mental Health, and Human Development

The Parties recognize that durable peace depends upon human beings and institutions rather than solely upon material resources.

Regional cooperation shall therefore include:

- education;

- scientific training;
- public health;
- mental-health services;
- trauma-informed post-conflict reconstruction;
- youth employment;
- cultural exchange;
- protection of human dignity.

Negotiators shall be trained to recognize anchoring, confirmation bias, overconfidence, availability bias, premature closure, and groupthink [10].

No psychological or psychiatric classification shall be used as a substitute for evidence, due process, or legitimate political disagreement.

13 Article XII: Religion, Culture, and Civilizational Pluralism

The Parties recognize the historical and contemporary importance of Judaism, Christianity, Islam, and other religious and philosophical traditions in the region.

The Treaty shall not establish a state religion.

The Parties shall protect:

- freedom of conscience;
- religious worship;
- cultural heritage;
- sacred sites;
- academic inquiry;
- peaceful religious dialogue.

The Treaty adopts the principle that religious and civilizational traditions may contribute moral resources to peace without being converted into instruments of interstate coercion.

14 Article XIII: Diplomacy and Negotiation

All disputes arising under this Treaty shall first be submitted to negotiation.

The Parties shall distinguish:

1. interests from positions;
2. bargaining power from coercion;
3. deterrence from hostility;
4. historical knowledge from historical determinism;
5. disagreement from enmity.

The preferred negotiating sequence shall be:

$$Interests \rightarrow BATNAs \rightarrow \begin{matrix} Common \\ Gains \end{matrix} \rightarrow \begin{matrix} Draft \\ Agreement \end{matrix} \rightarrow Verification \rightarrow Implementation. \quad (16)$$

The Treaty adopts the interest-based negotiation principle that durable agreements should focus on interests and objective criteria rather than positions [10].

15 Article XIV: Collective Security and Defence

The Parties shall pursue collective security through prevention, communication, confidence-building, and defensive resilience.

Nothing in this Treaty shall authorize aggression.

The Parties may cooperate in:

- maritime security;
- border security;
- counterterrorism consistent with international law;
- disaster response;
- cybersecurity;
- protection of critical infrastructure;
- humanitarian evacuation;
- civil defence.

The guiding doctrine shall be:

Do not manufacture enemies. Do not underestimate genuine threats. Do not surrender legitimate capabilities. Do not confuse deterrence with hostility.

16 Article XV: Warfare Economics and Strategic Resilience

The Parties recognize that economic systems may be affected by war, sanctions, blockades, financial exclusion, supply disruption, and capital flight.

A simplified capital-flight relationship may be represented as

$$CF_t = \alpha W_t + \beta W_t^2, \quad (17)$$

where W_t denotes conflict intensity.

The Treaty therefore emphasizes resilience rather than economic aggression.

A financial network may be represented by

$$x_{t+1} = Ax_t + u_t. \quad (18)$$

If

$$\rho(A) < 1, \quad (19)$$

where $\rho(A)$ is the spectral radius, disturbances tend to decay rather than amplify.

16.1 Proof of Network Stability

Proof. For $\rho(A) < 1$, the Neumann series converges:

$$(I - A)^{-1} = I + A + A^2 + A^3 + \dots. \quad (20)$$

Consequently, repeated transmission of a finite disturbance remains bounded and its successive effects diminish. Hence the network is stable under the linearized representation. $\square$

The Parties shall therefore seek redundancy, diversification, liquidity, and alternative supply routes rather than dependence upon a single point of failure.

17 Article XVI: Peace, Reconstruction, and Post-War Order

Where armed conflict occurs, the Parties shall prioritize:

1. cessation of hostilities;
2. humanitarian protection;
3. restoration of essential infrastructure;
4. restoration of trade;
5. financial stabilization;
6. employment;
7. institutional reconstruction;
8. reconciliation;
9. long-term development.

Treaty design shall seek incentive compatibility, individual rationality, credible monitoring, and Pareto-efficient outcomes [11].

Let the feasible welfare set be

$$\mathcal{W} = \{(U_1, \dots, U_n) : U_i \geq U_i(B_i)\}. \quad (21)$$

A negotiated outcome shall be preferred where it lies on the Pareto frontier of $\mathcal{W}$.

18 Article XVII: Environmental and Resource Economics

The Parties recognize the exhaustible-resource principle that extraction creates an intertemporal opportunity cost.

Under the simplest Hotelling framework,

$$\frac{d[p(t) - c(t)]}{dt} = r[p(t) - c(t)], \quad (22)$$

where $p(t)$ is resource price, $c(t)$ marginal extraction cost, and r the relevant discount rate [13, 1].

The Parties recognize, however, that technological change, market power, uncertainty, stock-dependent extraction costs, and alternative technologies modify the simple Hotelling result [1].

The Treaty shall therefore avoid treating any single theoretical model as an unconditional forecast.

19 Article XVIII: Regional Algorithm for Cooperation

The following algorithm shall guide major regional initiatives.

INPUT:

national interests
resources
capital
labour
technology
infrastructure
risks
BATNAs

FOR each proposed initiative:

identify participating states
measure differentiated contributions
estimate joint value
estimate distribution of gains
estimate environmental and social costs
estimate strategic risks
compare each state's payoff with its BATNA

IF every participant satisfies individual rationality:

identify Pareto improvements
design verification mechanism
design dispute-resolution mechanism
establish implementation timetable

ELSE:

renegotiate the distribution of gains
or postpone the initiative

OUTPUT:

treaty-compatible cooperative project

This procedure reflects the general logic of mechanism design, economic complementarity, and diplomatic negotiation [10, 11].

20 Article XIX: Artificial Intelligence and Regional Planning

Artificial intelligence may assist the Parties in:

- energy-demand forecasting;
- reservoir optimization;
- infrastructure planning;
- financial-risk analysis;
- climate modelling;
- supply-chain monitoring;

- early-warning systems;
- treaty compliance monitoring.

AI systems shall remain subordinate to legitimate human authority.

A generic decision function may be represented as

$$a_t^* = \arg \max_{a \in \mathcal{A}} E_t \left[\sum_{\tau=t}^T \beta^{\tau-t} W_\tau \mid a \right]. \quad (23)$$

The Parties shall require auditability, uncertainty reporting, human oversight, and protection against discriminatory or unsafe automated decisions.

21 Article XX: Institutional Architecture

The Treaty shall establish the following institutions:

Table 1: Principal Institutions of the Great Middle East Treaty

Institution	Primary Function	Principle
Council of Heads	Strategic coordination	Sovereignty
Economic Council	Trade and development	Complementarity
Energy Council	Energy security	Reliability
Scientific Council	Research and technology	Knowledge
Financial Council	Monetary and financial stability	Resilience
Infrastructure Authority	Regional infrastructure	Connectivity
Environmental Council	Environmental cooperation	Sustainability
Human Development Council	Education and welfare	Dignity
Security Council	Defensive cooperation	Restraint
Treaty Commission	Compliance and disputes	Rule of law

No institution shall possess powers exceeding those delegated to it by the Parties.

22 Article XXI: The Treaty Architecture

The complete economic and strategic architecture may be represented as follows.

The central proposition is that peace, prosperity, and resilience are not separate objectives. They form a mutually reinforcing system.

23 Article XXII: Monitoring and Statistical Evaluation

The Parties shall publish an annual Treaty Development Report containing, where feasible:

- intra-regional trade;
- energy production and consumption;
- infrastructure investment;
- foreign direct investment;
- employment;

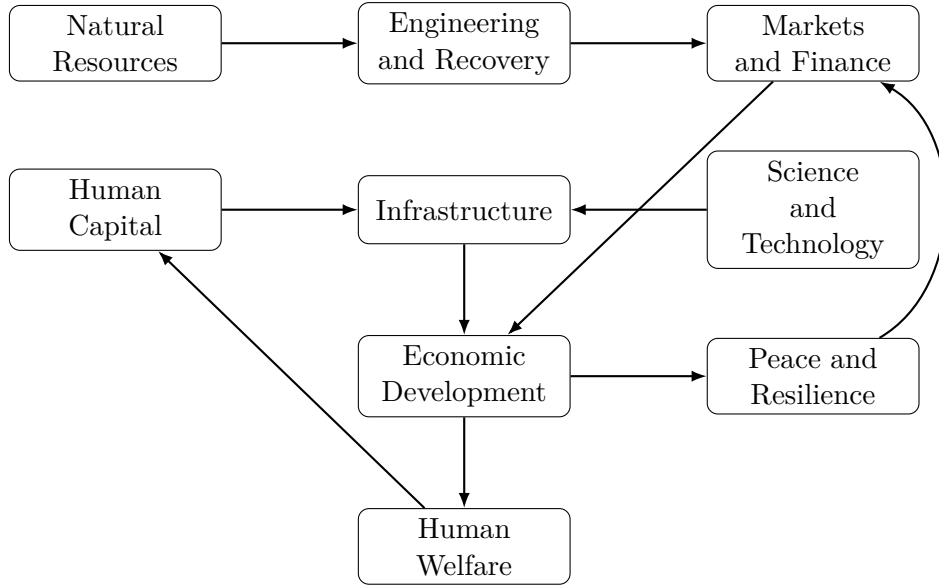


Figure 1: The Treaty architecture.

- inflation;
- public debt;
- environmental indicators;
- education and health indicators;
- conflict indicators;
- treaty compliance.

Performance indicators shall be interpreted with appropriate statistical caution.
Where models are employed, the Parties shall distinguish:

$$\text{prediction} \neq \text{explanation} \neq \text{causal identification.} \quad (24)$$

24 Article XXIII: Dispute Settlement

Disputes shall proceed through the following sequence:

1. direct negotiation;
2. mediation;
3. technical arbitration;
4. Treaty Commission review;
5. mutually agreed judicial or arbitral settlement.

No Party shall initiate armed force merely because an economic or diplomatic dispute remains unresolved.

25 Article XXIV: Non-Aggression and Economic Non-Coercion

The Parties shall refrain from using economic integration as a disguised instrument for political domination.

The following shall be discouraged:

- arbitrary economic exclusion;
- destruction of essential infrastructure;
- deliberate attacks upon civilian economic systems;
- politically motivated disruption of humanitarian energy supplies;
- manipulation of common institutions for unilateral domination.

Lawful countermeasures remain subject to international law and proportionality.

The objective of the Treaty is not to eliminate bargaining power.

The objective is to transform bargaining power into mutually beneficial negotiation.

26 Article XXV: Accession

Additional states may accede where they:

1. accept the Treaty;
2. demonstrate peaceful intent;
3. accept its institutional rules;
4. identify their material contribution;
5. accept the individual-rationality principle;
6. agree to dispute-resolution procedures.

A state need not possess oil to contribute.

A state may contribute:

resources + capital + labour + technology + markets + infrastructure + knowledge. (25)

27 Article XXVI: Withdrawal

A Party may withdraw according to procedures established by the Treaty Commission.

Withdrawal shall not extinguish:

- outstanding contractual obligations;
- humanitarian obligations;
- environmental responsibilities;
- legitimate financial claims;
- obligations arising from completed treaty projects.

The existence of a credible exit option is itself part of a stable treaty architecture.

28 Article XXVII: The Fundamental Bargain

The Parties affirm the following proposition:

$$\text{Cooperation Value} > \text{Conflict Value.} \quad (26)$$

Where this inequality holds for all major participants, peace possesses an economic foundation.

More generally, let

$$\Omega_i = U_i(T) - U_i(B_i). \quad (27)$$

The Treaty shall seek

$$\Omega_i \geq 0 \quad \forall i. \quad (28)$$

Where possible, it shall seek

$$\Omega_i > 0 \quad \forall i. \quad (29)$$

Proof of the Bargaining Principle.

If $\Omega_i > 0$, Party i receives a strictly higher expected payoff from cooperation than from its BATNA. If the condition holds for every Party, then all Parties possess an economic reason to preserve cooperation. The probability of voluntary continuation therefore increases, subject to credible enforcement and non-economic political shocks. $\square$

29 Article XXVIII: The Eid Principle

The Parties recognize that the highest form of strategic generosity is not the transfer of a finite object but the creation of a framework through which all participants can produce more value.

Accordingly:

A resource shall be valued not only by what it is worth today, but by what it enables humanity to produce tomorrow.

Oil shall therefore be understood as:

$$\text{Oil} = \text{Resource} + \text{Engineering} + \text{Energy} + \text{Industry} + \text{Finance} + \text{Trade} + \text{Development}. \quad (30)$$

Likewise, peace shall be understood not merely as the absence of war, but as an institutional equilibrium in which cooperation creates greater economic, social, technological, and human value than conflict.

30 Article XXIX: Final Declaration

The Parties declare that the Middle East need not choose between sovereignty and cooperation.

It may possess both.

It need not choose between resource wealth and technological development.

It may transform the first into the second.

It need not choose between strategic strength and peace.

It may make strength serve peace.

It need not erase historical identities in order to construct a common future.

The Parties therefore adopt the following principle:

Let history inform the present, but let the present determine the future.

The Great Middle East Treaty shall seek a region in which:

$$\boxed{\textit{Peace} + \textit{Prosperity} + \textit{Technology} + \frac{\textit{Energy}}{\textit{Security}} + \frac{\textit{Human}}{\textit{Development}} + \textit{Resilience} > \textit{Conflict}.} \quad (31)$$

The Parties shall negotiate accordingly.

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Glossary

BATNA

Best Alternative to a Negotiated Agreement. The outcome available to a Party if negotiations fail.

Complementarity

A condition in which the combined productive value of cooperating capabilities exceeds the value obtainable from their independent use.

Convenience Yield

The implicit benefit from holding physical commodity inventories rather than equivalent futures exposure.

Individual Rationality

The requirement that a participant obtain an outcome at least as good as its BATNA.

Oil Arbitrage

The process by which differences between oil value, price, financing, transportation, and opportunity costs generate economically relevant arbitrage relationships.

Oil Premium

A price component associated with risk, quality, scarcity, location, or other characteristics of petroleum.

Pareto Improvement

A change that makes at least one participant better off without making another participant worse off.

Pareto Frontier

The set of feasible outcomes for which no participant can be made better off without making another participant worse off.

Resilience

The capacity of an economic, financial, technological, or security system to absorb disturbances without catastrophic loss of function.

Strategic Autonomy

The capacity to make legitimate national decisions without unacceptable external dependence.

Ghoshian Condensation

The petroleum-engineering framework used in the accompanying theoretical work to represent nonlinear relationships among reservoir pressure, formation dynamics, flow, recovery, and related variables.

Zero Inflation Risk Premium

An equilibrium condition under which compensation specifically attributable to inflation risk is zero.

The End